Andreas Steiner's Post

Andreas Steiner
2d · Edited

Factor models are cent overlooked is this: a factor that explains var That distinction is exactly what the Fama- most important tools in quantitative finance mo

The logic is two steps. actors via time-series regression. Second, fo ns on those sensitivities to extract test whether they differ from zero using N correlation in those period-by-period estim

In the Python script sh matrix of Swiss blue chip stock returns via F cutoff, i.e. eigenvalues above the noise thresh that bar in this sample.

The Fama–MacBeth res a well-documented anomaly. None of the s o in every case. The factors structure the co idence they carry a priced risk premium.

The rolling cross-sectio but far from overwhelming, fit for in ou the directions of maximum variance. Fama–MacBeth tells you whether investors are actually compensated for bearing risk in those directions. The two questions are independent, and only the full two-pass procedure can answer both.

Not all risk factors are priced, which means that exposing yourself to factor risk is only necessary, but not sufficient, to earn factor risk premia. Maybe something to discuss the next time you are being presented again that "novel must-have" risk factor - because it's not really a "factor zoo" (John H. Cochrane, 2011), but a "factor shop".

You can get the Python script on: https://lnkd.in/eA5B-8rk

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Matthias Hanauer 1d

Hi Andreas, thanks for sharing! One comment: For observable characteristics (e.g., profitability, momentum, shorting information, etc.), you do not have to estimate betas towards this signal, but you can use them directly in an FMB analysis.

Apart from this, I agree that signals that explain variance often do not explain the alpha.

We also used th ow that you need at least 15 signals ith prior studies showing that or

https://papers.

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JD Opdyke 16h

Andreas Steine e (dramatically) from Marchenko-Pas , 2004; Burda et al., 2026; Akemann s, 2015; Martin and Mahoney, 2018; al correlation (see Burda et al., 20 2), which is consistent with

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Vishv Jeet 11h

I assume, all of en more compelling.

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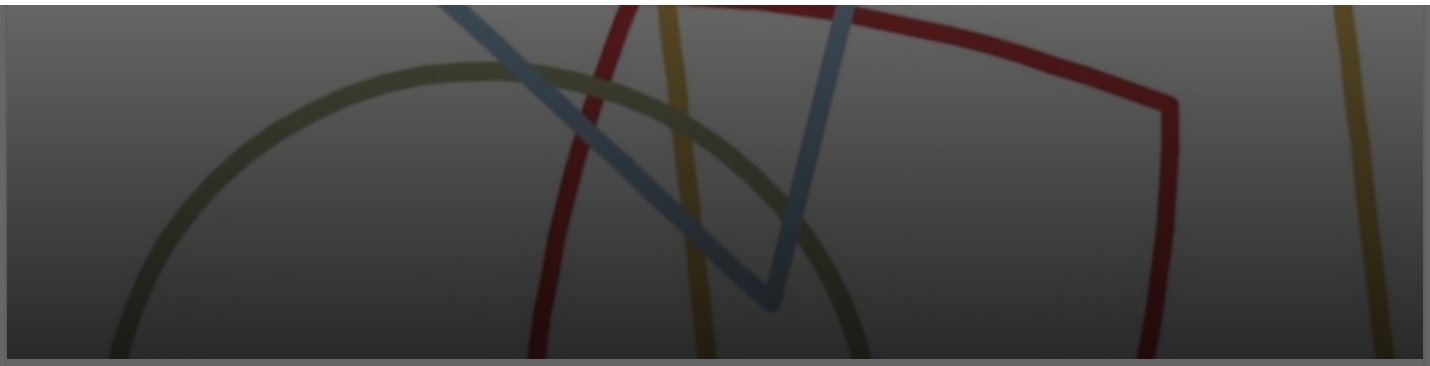

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